UNION BUDGET, FISCAL POLICY AND DEFICIT INDICATORS

BUDGET RECEIPT FORK → EXPENDITURE CLASSIFICATION → DEFICIT IDENTITY BOARD → EFFECTIVE MEASURES → ESTIMATE-VINTAGE RAIL → CONSTITUTIONAL DOCUMENT STACK

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◆ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

00

STAGE 00 BUDGET RECEIPT FORK

BUDGET RECEIPT FORK · REVENUE RECEIPT · NO LIABILITY · NO ASSET REDUCTION · CAPITAL RECEIPT · LIABILITY OR ASSET REDUCTION · DEBT CAPITAL RECEIPT · LOAN RECOVERY

REVENUE RECEIPT → no liability / no asset reduction

CAPITAL RECEIPT → liability or asset reduction → BORROWING → debt capital receipt → DISINVESTMENT / LOAN RECOVERY → non-debt capital receipt

CORE CLAIM

- REVENUE RECEIPT → no liability / no asset reduction
- CAPITAL RECEIPT → liability or asset reduction

MECHANISM

- BORROWING → debt capital receipt
- DISINVESTMENT / LOAN RECOVERY → non-debt capital receipt

CONSEQUENCE / LIMIT

- MUST REMEMBER: The Union Budget records receipts and expenditure under revenue/capital...
- REVENUE RECEIPT → no liability / no asset reduction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: The Union Budget records receipts and expenditure under revenue/capital.

01

STAGE 01 EXPENDITURE CLASSIFICATION

EXPENDITURE CLASSIFICATION · REVENUE EXPENDITURE · CURRENT SERVICE · CAPITAL EXPENDITURE · ASSET OR LIABILITY REDUCTION · ACCOUNTING CLASS IS NOT A MORAL VERDICT · QUALITY DEPENDS ON DESIGN AND OUTCOMES

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
REVENUE EXPENDITURE → current service / transfer	ACCOUNTING CLASS is not a moral verdict	REVENUE EXPENDITURE → current service / transfer
CAPITAL EXPENDITURE → asset or liability reduction	QUALITY depends on design and outcomes	CAPITAL EXPENDITURE → asset or liability reduction

CORE CLAIM

- REVENUE EXPENDITURE → current service / transfer
- CAPITAL EXPENDITURE → asset or liability reduction

MECHANISM

- ACCOUNTING CLASS is not a moral verdict
- QUALITY depends on design and outcomes

CONSEQUENCE / LIMIT

- REVENUE EXPENDITURE → current service / transfer
- CAPITAL EXPENDITURE → asset or liability reduction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCOUNTING CLASS is not a moral verdict; QUALITY depends on design and outcomes.

02

STAGE 02 DEFICIT IDENTITY BOARD

DEFICIT IDENTITY BOARD · REVENUE DEFICIT · RE - RR · FISCAL DEFICIT · TOTAL EXPENDITURE - NON-DEBT RECEIPTS · PRIMARY DEFICIT · FD - INTEREST · KEEP FLOW, PERIOD AND GOVERNMENT PERIMETER

REVENUE DEFICIT = RE - RR

FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS → PRIMARY DEFICIT = FD - INTEREST → KEEP flow, period and government perimeter

CORE CLAIM

- REVENUE DEFICIT = RE - RR
- FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS

MECHANISM

- PRIMARY DEFICIT = FD - INTEREST
- KEEP flow, period and government perimeter

CONSEQUENCE / LIMIT

- REVENUE DEFICIT = RE - RR
- FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS.

03

STAGE 03 EFFECTIVE MEASURES

EFFECTIVE MEASURES · REVENUE DEFICIT - CAPITAL-ASSET GRANTS · EFFECTIVE CAPEX · CENTRE CAPEX + CAPITAL-ASSET GRANTS · TRANSFER ACCOUNTING IS REFINED · OUTCOME QUALITY STILL NEEDS VERIFICATION

CORE CLAIM

- ERD = REVENUE DEFICIT - CAPITAL-ASSET GRANTS
- EFFECTIVE CAPEX = CENTRE CAPEX + CAPITAL-ASSET GRANTS

MECHANISM

- TRANSFER accounting is refined
- OUTCOME quality still needs verification

CONSEQUENCE / LIMIT

- ERD = REVENUE DEFICIT - CAPITAL-ASSET GRANTS
- EFFECTIVE CAPEX = CENTRE CAPEX + CAPITAL-ASSET GRANTS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EFFECTIVE CAPEX = CENTRE CAPEX + CAPITAL-ASSET GRANTS.

04

STAGE 04 ESTIMATE-VINTAGE RAIL

ESTIMATE-VINTAGE RAIL · BUDGET ESTIMATE · REVISED ESTIMATE · UPDATED IN-YEAR EXPECTATION · REALISED ACCOUNT · NEVER COMPARE WITHOUT LABELS

BUDGET ESTIMATE → authorisation / projection → REVISED ESTIMATE → updated in-year expectation → ACTUAL → realised account → NEVER compare without labels

CORE CLAIM

- BUDGET ESTIMATE → authorisation / projection
- REVISED ESTIMATE → updated in-year expectation

MECHANISM

- ACTUAL → realised account
- NEVER compare without labels

CONSEQUENCE / LIMIT

- BUDGET ESTIMATE → authorisation / projection
- REVISED ESTIMATE → updated in-year expectation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACTUAL → realised account; NEVER compare without labels.

05

STAGE 05 CONSTITUTIONAL DOCUMENT STACK

CONSTITUTIONAL DOCUMENT STACK · ARTICLE 112 · ANNUAL FINANCIAL STATEMENT · FRBM ACT · MEDIUM-TERM FISCAL DISCIPLINE · MACRO ASSUMPTIONS · PARLIAMENT + CAG · AUTHORISATION AND SCRUTINY

ARTICLE 112 → Annual Financial Statement → FRBM ACT → medium-term fiscal discipline → MEFS → macro assumptions → PARLIAMENT + CAG → authorisation and scrutiny → CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not

CORE CLAIM

- ARTICLE 112 → Annual Financial Statement
- FRBM ACT → medium-term fiscal discipline

MECHANISM

- MEFS → macro assumptions
- PARLIAMENT + CAG → authorisation and scrutiny

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not...
- ARTICLE 112 → Annual Financial Statement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not.

06

STAGE 06 DEBT-DYNAMICS CHAIN

DEBT-DYNAMICS CHAIN · PRIMARY BALANCE + INTEREST · FISCAL DEFICIT · DEBT STOCK · FUTURE INTEREST FEEDBACK

PRIMARY BALANCE + INTEREST → FISCAL DEFICIT → DEBT STOCK → FUTURE INTEREST FEEDBACK

CORE CLAIM

- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

MECHANISM

- DEBT STOCK
- FUTURE INTEREST FEEDBACK

CONSEQUENCE / LIMIT

- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRIMARY BALANCE + INTEREST; FISCAL DEFICIT; DEBT STOCK; FUTURE INTEREST FEEDBACK.

07

STAGE 07 CROWDING FORK

CROWDING FORK · BORROWING DURING TIGHT FINANCE · SAVINGS PRESSURE · CROWDING OUT · CAPEX REMOVES BOTTLENECKS · CROWDING IN

BORROWING DURING TIGHT FINANCE

rates / savings pressure → crowding out → CAPEX REMOVES BOTTLENECKS → productivity / demand → crowding in

CORE CLAIM

- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

MECHANISM

- CAPEX REMOVES BOTTLENECKS
- productivity / demand → crowding in

CONSEQUENCE / LIMIT

- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CAPEX REMOVES BOTTLENECKS; productivity / demand → crowding in.

08

STAGE 08 HIDDEN-RISK PERIMETER

HIDDEN-RISK PERIMETER · HEADLINE DEFICIT · EXTRA-BUDGETARY BORROWING · DELAYED PAYMENTS · WIDER FISCAL RISK

HEADLINE DEFICIT

EXTRA-BUDGETARY BORROWING → DELAYED PAYMENTS → wider fiscal risk

CORE CLAIM

- HEADLINE DEFICIT
- EXTRA-BUDGETARY BORROWING

MECHANISM

- DELAYED PAYMENTS → wider fiscal risk
- HEADLINE DEFICIT

CONSEQUENCE / LIMIT

- EXTRA-BUDGETARY BORROWING
- DELAYED PAYMENTS → wider fiscal risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXTRA-BUDGETARY BORROWING; DELAYED PAYMENTS → wider fiscal risk.

09

STAGE 09 STATE FISCAL QUALITY

STATE FISCAL QUALITY · OWN-REVENUE MOBILISATION · EXPENDITURE QUALITY · FISCAL PRUDENCE · DEBT SUSTAINABILITY

OWN-REVENUE MOBILISATION → EXPENDITURE QUALITY → FISCAL PRUDENCE → DEBT SUSTAINABILITY

CORE CLAIM

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

MECHANISM

- FISCAL PRUDENCE
- DEBT SUSTAINABILITY

CONSEQUENCE / LIMIT

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OWN-REVENUE MOBILISATION; EXPENDITURE QUALITY; FISCAL PRUDENCE; DEBT SUSTAINABILITY.

10

STAGE 10 BUDGET 2026-27 STATUS CARD

BUDGET 2026-27 STATUS CARD · 2026-27 BE · FISCAL DEFICIT 4.3% GDP · CAPEX RS 12.22 LAKH CRORE · 2025-26 RE · FISCAL DEFICIT 4.4% GDP · RE, NOT ACTUALS

2026-27 BE → fiscal deficit 4.3% GDP

2026-27 BE → capex Rs 12.22 lakh crore → 2025-26 RE → fiscal deficit 4.4% GDP → STATUS → BE / RE, not Actuals

CORE CLAIM

- 2026-27 BE → fiscal deficit 4.3% GDP
- 2026-27 BE → capex Rs 12.22 lakh crore

MECHANISM

- 2025-26 RE → fiscal deficit 4.4% GDP
- STATUS → BE / RE, not Actuals

CONSEQUENCE / LIMIT

- 2026-27 BE → fiscal deficit 4.3% GDP
- 2026-27 BE → capex Rs 12.22 lakh crore

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 2026-27 BE → capex Rs 12.22 lakh crore.

11

STAGE 11 FISCAL-POLICY ANSWER SPINE

FISCAL-POLICY ANSWER SPINE · DEFINE IDENTITIES AND COVERAGE · CHECK BE · ACTUAL VINTAGE · ASSESS COMPOSITION AND MULTIPLIER · CONCLUDE ON DEBT PATH AND TRANSPARENCY · EVIDENCE LIMIT · USE ONE BUDGET YEAR AND DOCUMENT STAGE—BE

DEFINE identities and coverage → CHECK BE / RE / Actual vintage → ASSESS composition and multiplier → CONCLUDE on debt path and transparency → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE

CORE CLAIM

- DEFINE identities and coverage
- CHECK BE / RE / Actual vintage

MECHANISM

- ASSESS composition and multiplier
- CONCLUDE on debt path and transparency

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE....
- DEFINE identities and coverage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE..

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · FISCAL IMPULSE DEPENDS ON CHANGES IN THE CYCLICALLY RELEVANT · DEBT SUSTAINABILITY DEPENDS ON THE INTEREST-GROWTH DIFFERENTIAL, PRIMARY BALANCE · PUBLIC CAPEX CAN CROWD IN PRIVATE INVESTMENT WHEN IT · OFF-BUDGET BORROWING AND GUARANTEES CAN OBSCURE THE FULL PUBLIC-SECTOR · AUTOMATIC STABILISERS WORK WITHOUT FRESH DECISIONS, WHILE DISCRETIONARY POLICY · FISCAL RULES NEED CREDIBLE ESCAPE CLAUSES, TRANSPARENT ACCOUNTING AND · MINISTRY OF FINANCE

OPTIONAL SOURCE DEPTH

- CAUTION: Fiscal impulse depends on changes in the cyclically relevant stance, not only the
- CAUTION: Debt sustainability depends on the interest-growth differential, primary balance,
- CAUTION: Public capex can crowd in private investment when it removes infrastructure bottlenecks
- CAUTION: Off-budget borrowing and guarantees can obscure the full public-sector risk position.

ADVANCED DEBATE

- CAUTION: Automatic stabilisers work without fresh decisions, while discretionary policy is
- CAUTION: Fiscal rules need credible escape clauses, transparent accounting and a medium-term
- Ministry of Finance: prepares the Union Budget, borrowing programme and fiscal
- Parliament: authorises taxation and expenditure through constitutional budget

LEGACY / NUANCE

- CAG and parliamentary financial committees: audit and scrutinise public spending and
- FRBM framework and fiscal councils or analytical bodies: provide medium-term
- CAUTION: Borrowing to complete a productive transport network can expand future capacity;
- CAUTION: A grant to a state used to create a capital asset enters effective capital expenditure

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels